

Week ending 18th September 2020

Weekly Fixed Income Note

Key Highlight:

A total of KES 24.0 Billion worth of T-bills were on offer during the week. The **91-day**,**182-day** and **364-day** T-bills recorded subscription rates of **151%, 19%** and **89%** respectively. The CBK accepted KES **6.0B**, **1.9B** and **8.9B** respectively of the bids for the **91-day, 182-day** and **364-day** T-bills on offer.

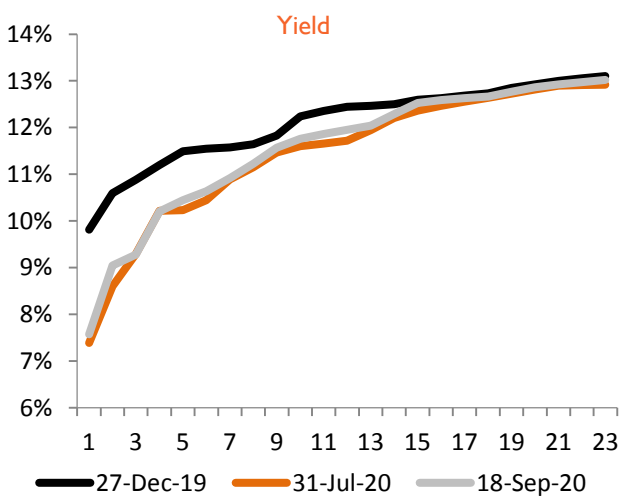
In September, Central Bank of Kenya re-opened three fixed bonds **FXD2/2010/15, FXD1/2020/15 and FXD1/2011/20** in a bid to raise **50 Billion**. The CBK accepted KES **11.0B**, **45.7B** and **74.7B** for the **FXD2/2010/15, FXD1/2020/15** and **FXD1/2011/20** T-Bonds respectively.

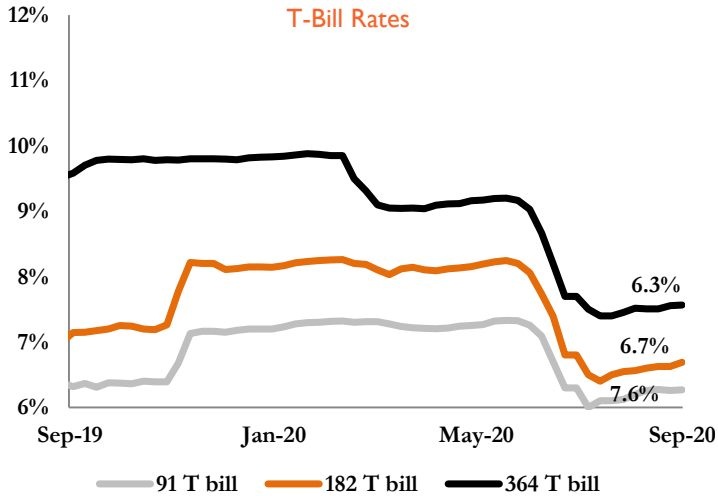
Key Indicators

	Current	Previous	% Change
91- Day	6.27%	6.27%	0.10%
182-Day	6.72%	6.69%	0.45%
364-Day	7.57%	7.56%	0.13%
Interbank Rate	2.81%	2.58%	8.91%

Macroeconomic data	Current	Previous
GDP (1Q20 vs. 1Q19)	4.9%	5.5%
Inflation (August)	4.36%	4.36%
Private sector credit growth (May)	8.1%	9.0%
Money Supply (April)	6.2%	4.9%

Interest Rates





MACROECONOMIC NEWS

Currency

The Kenya shilling gained ground against the USD this past week appreciating by **0.11%** to stand at **108.38**.The CBK's usable forex reserves currently stand **USD 8,838million** (**5.36** months of import cover) as at September 17th a **0.44%** decrease from **USD8,877million**(**5.39** months of import cover) as at September 10th.

Inflation

Inflation remained at **4.36%** in August. The CPI increased by **0.20%** to **108.57** from **108.35.**

GDP growth

Growth receded to **4.9%** in 1Q20 from **5.5%** in the corresponding period of 2019. While the agricultural sector grew slightly by **0.2%** to **4.9%** year-on-year, other sectors have grown at a slower rate including manufacturing, construction and accommodation that slowed down by **0.6%, 0.8%** and **9.3%** respectively.

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